BSE and NSE SME exchanges. These companies raised a total of about Rs 6000 crore until 2020 in equity capital since the inception of these exchanges in 2012. Details of how many of these companies are MSMEs are not available.

There are specialized institutions like small finance banks and NBFCs that focus on small businesses. Unfortunately, these institutions also neglect the provision of equity.

Credit Support is Available Only to a Fraction of MSMEs

The government and financial system profess to provide a large chunk of credit to MSMEs. Yet, there is a big gap between the credit required and credit being made available to them. This forces MSMEs to remain credit-starved or to fall into the clutches of informal sources of credit.

The IFC report published in 2018 concluded that the overall demand of MSMEs for debt finance was an estimated Rs 69.3 lakh crore of debt. The report focuses on debt financing. Recognizing that the debt requirement of MSMEs is met only to a very small extent by formal sources of financing, it stated that 84 per cent of the debt demand of Rs 69.3 lakh crore, i.e., Rs 58.4 lakh crore, was met by informal sources. Only about Rs 11 lakh crore of debt demand was met by all the formal sources put together: banks, regional rural banks, urban cooperative banks, non-banks, SIDBI and the government.

RBI provides data about total bank credit outstanding in the country. At the end of financial year 2018–19, there were 88.87 lakh loan accounts of industrial enterprises in the banking system. There were also 1.43 crore accounts of traders, of which 1.3 crore were retail trade accounts. Transporters had 31.84 lakh crore accounts and all other service enterprises had 68.97 lakh accounts. Even in absolute numbers, total business bank accounts were 3.33 crore in all. This is only about 40 per cent of the total 8 crore businesses in the country. Several businesses have bank accounts in